

EQUITY RESEARCH

INTEL CORPORATION

INTC | Technology

Rating: Sell

Current: \$84.52 | Target: \$65.00

April 2026

Key Metrics Snapshot

Market Cap	\$424.38B	ROE	-0.23%
P/E (Fwd)	-658.38	Dividend Yield	0.15%
P/B Ratio	1.54	52W Range	\$18.97 - \$87.10

Investment Thesis

Intel Corporation has endured a prolonged revenue contraction of 9.6% CAGR since 2021, with EPS turning deeply negative and EBITDA collapsing to near-zero in 2024 before a partial recovery, underscoring the severity of its ongoing operational restructuring. While forward estimates project modest revenue growth of 5-6% and expanding EBITDA margins approaching 30%, persistent negative earnings and an elevated EV/EBITDA of 14.5x reflect continued investor skepticism relative to peers AMD and NVDA. Intel remains a turnaround story in progress, with improving cost discipline and margin recovery offering cautious optimism, but meaningful competitive repositioning against a rapidly accelerating NVIDIA is still far from assured.

Company Overview

Intel Corporation (INTC) is one of the world's largest and most historically significant semiconductor companies, headquartered in Santa Clara, California. Founded in 1968, Intel built its reputation as the dominant designer and manufacturer of microprocessors powering personal computers and data center servers. The company operates an integrated device manufacturer (IDM) model, meaning it both designs and fabricates its own chips, a capital-intensive approach that distinguishes it from fabless competitors like AMD and differentiates it from pure foundries like TSMC.

Intel's product portfolio spans several key segments. Its Client Computing Group produces processors for laptops, desktops, and consumer devices. The Data Center and AI Group targets cloud providers, enterprises, and high-performance computing workloads. The Network and Edge Group serves telecommunications and industrial applications. Intel also operates Intel Foundry Services, an ambitious initiative to manufacture chips for third-party customers and compete directly with TSMC and Samsung in the global foundry market.

Intel's market position has eroded considerably over the past several years. The company lost meaningful share in both consumer and data center markets to AMD, and more critically, failed to capitalize on the artificial intelligence infrastructure boom that has propelled NVIDIA to extraordinary growth. While NVIDIA's EBITDA surged from approximately 11.4 billion dollars in 2022 to over 86 billion dollars in 2025, Intel's EBITDA collapsed from 33.9 billion dollars in 2021 to a near-zero 1.2 billion dollars in 2024, reflecting deep operational and competitive challenges.

Revenue has declined sharply from 79 billion dollars in 2021 to approximately 52.9 billion dollars in 2025, representing a four-year compound annual decline of roughly 9.6 percent. Contribution margins compressed from 55.4 percent in 2021 to a trough of 32.7 percent in 2024 before showing modest recovery. Earnings per share turned deeply negative in 2024 at negative 4.38 dollars, and the company remains unprofitable on a net basis into the forward estimate period.

Forward estimates suggest a gradual stabilization, with revenue projected to recover modestly toward 61.2 billion dollars by 2027 and EBITDA margins expanding toward 30.6 percent. However, Intel faces a formidable turnaround challenge, requiring simultaneous execution on process technology recovery, foundry buildout, and competitive repositioning in AI accelerators, all while managing a heavy capital expenditure burden and restoring investor confidence.

Investment Overview

Intel Corporation (INTC) Investment Update

Recent Financial Performance

Intel has faced a prolonged revenue decline, with sales falling from \$79.0 billion in 2021 to \$52.9 billion in 2025, representing a five-year CAGR of negative 9.6%. The company hit a particularly difficult stretch in 2024, when EBITDA collapsed to just \$1.2 billion, translating to a razor-thin 2.3% margin, and EPS turned deeply negative at negative \$4.38. A partial recovery emerged in 2025, with EBITDA rebounding to \$14.4 billion and EBITDA margin recovering to 27.2%, though EPS remains slightly negative at negative \$0.06. SG&A discipline has improved, with that margin compressing from 11.1% in 2022 to 8.7% in 2025, signaling meaningful cost restructuring efforts.

Growth Drivers and Competitive Positioning

Intel's recovery thesis rests on its foundry ambitions, the ramp of its Intel 18A process node, and renewed traction in data center and AI-adjacent workloads. However, the competitive gap versus NVIDIA and AMD remains stark. NVIDIA's EBITDA surged to \$86.1 billion in 2025 and is projected to reach \$382 billion by 2027, while Intel's

projected \$47.4 billion in 2027 still reflects a distant third position. Intel's EV/EBITDA multiple of 14.5x in 2025 appears more reasonable than the elevated 106.9x seen in 2024.

Outlook

Estimates project modest revenue growth of 5% to 6% annually through 2027, with contribution margins gradually improving toward 37.8%. While the trajectory is stabilizing, persistent negative EPS and intense competitive pressure from NVIDIA and AMD warrant a cautious stance. Intel remains a turnaround story with meaningful execution risk.

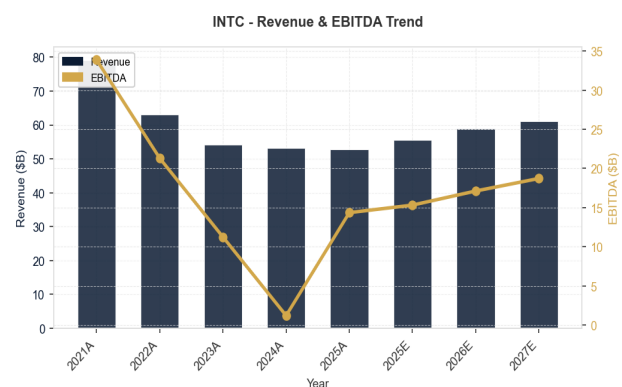
Financial Analysis

Revenue & EBITDA Performance

Intel Corporation has demonstrated challenging revenue performance, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$52.9B
- EBITDA (2025A): \$14.4B
- Revenue Growth (2025A): -0.5%



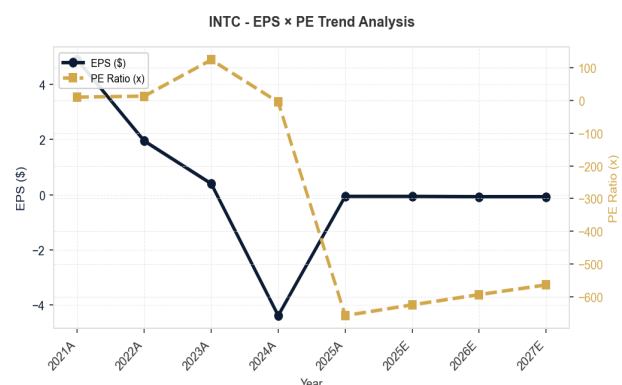
Source: Company Filings

Earnings & Valuation Metrics

Intel Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): -0.06
- PE Ratio (2025A): -658.38



Source: Company Filings

Valuation Analysis

Intel Corporation (INTC) Valuation Analysis

Current Valuation Metrics

Intel's valuation picture is deeply distorted by years of deteriorating profitability. The company's P/E ratio has been rendered effectively meaningless, turning deeply negative as EPS collapsed from \$4.89 in 2021 to -\$0.06 in 2025E, with losses expected to persist through 2027. The EV/EBITDA multiple tells a more nuanced story, swinging from a trough of 6.5x in 2022 to a peak of 106.9x in 2024 when EBITDA collapsed to just \$1.2 billion, before recovering to approximately 14.5x in 2025 as EBITDA rebounds to \$14.4 billion. Revenue has declined at a 9.6% CAGR since 2021, though modest growth of 5-6% is projected for 2025-2026.

Peer Comparison

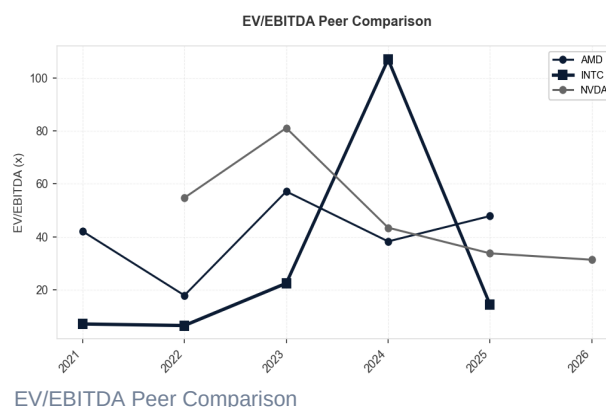
Against AMD and NVIDIA, Intel's competitive position has deteriorated significantly. NVIDIA's EBITDA surged to \$86.1 billion in 2025 against Intel's \$14.4 billion, with NVDA trading at roughly 33.8x EV/EBITDA, reflecting dominant AI-driven growth. AMD trades at approximately 47.8x EV/EBITDA despite more modest EBITDA of \$7.3 billion, supported by stronger growth momentum. Intel's 14.5x multiple appears cheap on the surface but reflects genuine structural risk rather than a clear discount opportunity.

Fair Value Assessment

Intel's projected EBITDA recovery toward \$18.7 billion by 2027, with margins expanding to 30.6%, suggests operational stabilization. Applying a conservative 12-15x EV/EBITDA multiple, consistent with a mature, restructuring-stage semiconductor company, implies limited near-term upside. Until sustained earnings per share turn positive and market share erosion stabilizes, Intel warrants a cautious, hold-equivalent assessment with meaningful execution risk embedded in any recovery thesis.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Intel Corporation (INTC) Summary - April 2026

Intel is experiencing a notable resurgence following a strong Q1 2026 earnings report that exceeded revenue expectations and sent shares surging approximately 24% post-announcement. The company's Data Center and AI segment posted 22% year-over-year growth, signaling that Intel's strategic pivot away from its legacy PC-centric identity toward AI infrastructure and foundry services is beginning to gain traction. Non-GAAP EPS reached \$0.29, up 123% year-over-year, though the company still reported a GAAP loss, reflecting ongoing restructuring costs and heavy capital investment.

Despite the strong quarter, Intel faces meaningful headwinds. Concerns over OpenAI's revenue targets and broader AI monetization timelines have created near-term volatility, contributing to intraday pullbacks alongside sector peers AMD and Arm Holdings. Bernstein analyst Stacy Rasgon cautioned that certain chip stocks remain in a difficult competitive environment, underscoring that Intel's recovery is still fragile and contested.

From a financial perspective, Intel's multi-year revenue decline, falling from 79 billion dollars in 2021 to approximately 52.9 billion dollars in 2025, reflects deep structural challenges. However, forward estimates project modest revenue growth of 5 to 6 percent through 2027, with EBITDA margins expanding toward 30 percent. The company continues to post negative GAAP EPS, and its peer EBITDA comparison reveals a stark gap versus Nvidia's explosive trajectory.

Retail sentiment is mixed, with Reddit users notably cautious at 33% bullish while X.com shows stronger conviction at 70% bullish. For investors, Intel's comeback narrative is real but early stage, making it a speculative recovery play with meaningful execution risk still embedded in the valuation.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 27.6%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 29.1%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 30.6%

Confidence Intervals:

- Revenue: \$43.2B - \$79.2B (95% confidence)
- EBITDA: \$13.2B - \$24.2B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for INTC

Positive Catalysts (Upside Potential)

- Market (2026-04-28): Intel, Qualcomm Alert: Analyst Says Some Chip Stocks Are 'Living In A Bad Neighborhood'
- Impact: LOW, Probability: 50%
- Earnings (2026-04-28): Intel's Comeback Is No Longer A Theory
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Intel: Back On Top, But Maybe Not For Long
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Intel: Redrawing The CPU AI Map (Rating Downgrade)
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Intel: Keep Your SOX On
- Impact: HIGH, Probability: 95%

Events to Monitor

- Why Is Intel Stock Soaring, and is it a Buying Opportunity? (2026-04-28)
- Intel Stock Hits a Snag. What's Dragging It Down. (2026-04-28)
- Stock Of The Day: Is The Intel Rally Over? (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ Intel, Qualcomm Alert: Analyst Says Some Chip Stocks Are 'Living In A Bad Neighborhood'
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- ✓ Intel: Back On Top, But Maybe Not For Long
- ✓ Intel: Redrawing The CPU AI Map (Rating Downgrade)
- ✓ Intel: Keep Your SOX On
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Intel: A Very Strong Q1 Report, But Remains A 'Hold'
- ✓ Tamboran Resources secures US\$198M for Beetaloo growth - ICYMI
- ✓ Intel Stock Is on a Tear. Why Its Earnings Power Is a Worry.
- ✓ Intel: Pump The Brakes
- ✓ Intel: The Unlikely Turnaround Story

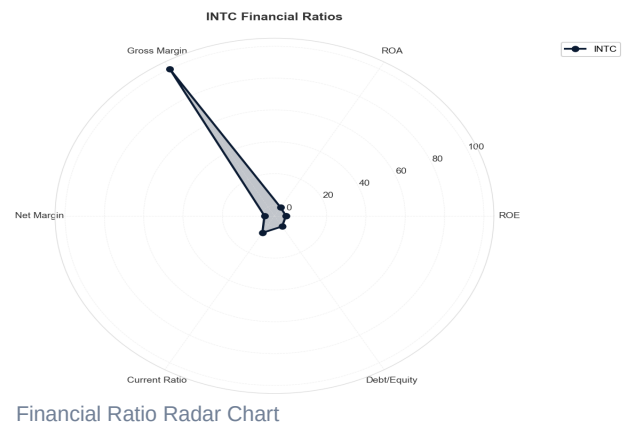
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Intel Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Intel Corporation Competitor Analysis

Intel operates in one of the most competitive segments of the global semiconductor industry, facing intense pressure from Advanced Micro Devices (AMD) and NVIDIA, both of which have dramatically outpaced Intel in growth, profitability, and market positioning over the past several years.

Revenue and Profitability Trends

Intel's revenue has declined sharply from \$79 billion in 2021 to approximately \$52.9 billion in 2025, representing a five-year CAGR of negative 9.6%. This stands in stark contrast to NVIDIA, which has experienced explosive growth driven by surging demand for AI accelerators. NVIDIA's EBITDA surged from \$11.4 billion in 2022 to \$86.1 billion in 2025 and is projected to reach \$382 billion by 2027. AMD, while smaller, has also demonstrated more

stable and growing EBITDA, rising from \$4.2 billion in 2021 to \$7.3 billion in 2025 with further growth projected.

Margins and Valuation

Intel's contribution margin has compressed from 55.4% in 2021 to 34.8% in 2025, reflecting escalating manufacturing costs and competitive pricing pressure. Its EBITDA margin hit a near-zero level of 2.3% in 2024 before partially recovering. Intel's EV/EBITDA multiple spiked to 106.9x in 2024 due to collapsed earnings, while NVIDIA trades at a more justified premium reflecting genuine growth. AMD maintains a consistently elevated multiple reflecting investor confidence in its trajectory.

Outlook

Intel's projected recovery, with revenue growing modestly toward \$61 billion by 2027 and EBITDA margins approaching 30%, suggests stabilization rather than resurgence. Without a compelling AI product roadmap, Intel risks further losing ground to both AMD and NVIDIA in high-margin, high-growth markets.

Risk Factors

■ # Intel Corporation (INTC) - Key Investment Risks

■ **Sustained Revenue Deterioration & Negative EPS Trajectory:** Revenue has declined at a -9.6% CAGR from \$79B (2021) to \$52.9B (2025), with EPS turning deeply negative (-\$4.38 in 2024, -\$0.06 in 2025E), suggesting structural demand erosion rather than a cyclical trough — raising serious concerns about Intel's ability to return to profitability within the forecast horizon

■ **Catastrophic Competitive Displacement by NVIDIA:** NVIDIA's EBITDA surged from \$11.4B (2022) to \$86.1B (2025) and is projected at \$382B by 2027, while Intel's EBITDA stagnated at \$14.4B — reflecting Intel's near-total absence from the AI/accelerator market, which represents the semiconductor industry's fastest-growing and highest-margin segment

■ **Gross Margin Compression & Cost Structure Rigidity:** Contribution margin collapsed from 55.4% (2021) to 32.7% (2024), recovering only modestly to ~37.8% (2027E), indicating that Intel's manufacturing-heavy model generates structurally higher costs relative to fabless peers like AMD and NVIDIA, limiting margin recovery potential

■ **Extreme Valuation Distortion Masking Downside Risk:** A P/E ratio of -658x (2025) and EV/EBITDA spike to 106.9x (2024) signal that traditional valuation metrics have broken down — investors risk overpaying significantly if the anticipated EBITDA recovery to \$47.4B (2027E) fails to materialize given execution risks in Intel Foundry Services

■ **Execution Risk on Foundry Turnaround Amid Capital Intensity:** The projected EBITDA recovery from \$1.2B (2024) to \$47.4B (2027E) implies a ~39x improvement requiring flawless execution of process node transitions (18A) and IFS customer acquisition — any delays, yield failures, or customer defections (e.g., TSMC dependency by AMD/NVIDIA) could render forward estimates materially unachievable

Key Takeaways

- ✓ **Revenue Growth:** Intel Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Intel Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Intel Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Intel Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$79.0B	\$63.1B	\$54.2B	\$53.1B	\$52.9B
SG&A	\$6.5B	\$7.0B	\$5.6B	\$5.5B	\$4.6B
Contribution Profit	\$43.8B	\$26.9B	\$21.7B	\$17.3B	\$18.4B
Contribution Margin	55.4%	42.6%	40.0%	32.7%	34.8%
EBITDA	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B
EBITDA Margin	42.9%	33.8%	20.7%	2.3%	27.2%
SG&A Margin	8.3%	11.1%	10.4%	10.4%	8.7%
Revenue Growth	N/A	-20.2%	-14.0%	-2.1%	-0.5%
EPS	4.89	1.95	0.40	-4.38	-0.06
PE Ratio	10.48	13.55	124.66	-4.63	-658.38

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.40	0.41	0.47	0.50	0.41
Debt/Assets	0.23	0.23	0.26	0.25	0.22
Interest Coverage	32.6x	4.7x	0.1x	-14.2x	-0.0x
Net Margin	25.1%	12.7%	3.1%	-35.3%	-0.5%
Current Ratio	2.13	1.57	1.54	1.33	2.02
CF to Debt Ratio	0.77	0.37	0.23	0.17	0.21

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Data Source: FMP, Company Filings, AI4Finance Estimates

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